Type MS · Why marketing matters: needs, loyalty and share

Answer 1 of 19 · Question 1 part f · 3 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part f in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **C** – Tertiary	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **A** – Rent	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	We are aware that there is no correct answer to this item. Because of this, all candidates will be awarded 1 mark for this question 1 (a) (iii). An error was made with the multiple-choice distractors. We take our responsibility of ensuring the accuracy of our assessments very seriously and we are reviewing candidate responses to ensure no one is disadvantaged.	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO2 = 1 mark** **D** – Could charge lower prices	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **B** – Reinvested profit	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **A** – 4.03%	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 1 of 19 · Question 1 part f · 3 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for correct definition of crowdfunding. • Raising money from many people for a new project via the internet **(1).**	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for correct definition of branding. • A name/symbol/design that identifies and differentiates a product from other products **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 = 1 mark** Award 1 mark for a correct example of a diseconomy of scale in the context of the business. • Communication between *Yellow*'s clothing factory and the retail shops could become difficult in different countries **(1).** Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark

Type MS · Why marketing matters: needs, loyalty and share

Answer 1 of 19 · Question 1 part f · 3 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part f in this mark scheme extract

1 (e)	**AO2 = 2 mark** 252 x .17 **(1)** = 42.84 252 + 42.84 = 294.84 **(1)** **OR** 252 x 1.17 **(1)** = 294.84 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**
Question Number	**Answer**		**Mark**
1 (f)	**AO1 = 3 marks** Award 1 mark for identification of an advantage of a business having loyal customers, plus 2 further marks for explaining this advantage for a maximum of 3 marks. • An advantage will be repeat custom **(1)** if customers are loyal they will only shop at that business **(1)** which could increase market share/revenue **(1).** Answers that list three advantages with no explanation will get a maximum of 1 mark. Accept any other appropriate response.		**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 1 of 19 · Question 1 part f · 3 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part f in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The quality of the T-shirts will be better. • Reduction in costs of making the T-shirts. **AO3** • *Yellow*'s reputation will be enhanced leading to higher sales. • There will be fewer returns of T-shirts, which could lead to increased profitability for the manufacturer.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Why marketing matters: needs, loyalty and share

Answer 1 of 19 · Question 1 part f · 3 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark

Type MS · Why marketing matters: needs, loyalty and share

Answer 2 of 19 · Question 2 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

2 (a)	**A02 = 1 mark** Award 1 mark for a valid primary research method in the context of the business. • Questionnaire for each person taking part in a cookery class (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 = 1 mark** Award 1 mark for a valid drawback of poor customer service in the context of the business. • Damage to *Loaf*'s brand leading to less people joining the cookery classes/buying bakery products (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (c)	**A01 = 3 marks** Award 1 mark for identification of a benefit to a business of using e-newsletters, plus 2 further marks for explaining this benefit for a business, for a maximum of 3 marks. • It can target its existing customers (1). This allows it to introduce new products (1) and this can encourage more sales (1). NB Answers that list three benefits with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 2 of 19 · Question 2 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
2 (d)	**A01 = 3 marks** Award 1 mark for identification of a responsibility of the human resources function, plus 2 further marks for explaining this responsibility, for a maximum of 3 marks. • A responsibility is recruitment (1) whereby the human resources function creates recruitment documents and carries out interviews (1) allowing the business to hire the right person for the job (1). **NB** Answers that list three responsibilities with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (e)	**A01 = 3 marks** Award 1 mark for the identification of a way in which the JIT (just in time) method of stock control might benefit a business, plus 2 further marks for explaining that way, for a maximum of 3 marks. • JIT stock control method could reduce the space needed to hold buffer stock (1) leading to a reduction in storage costs (1) and allow the business to have stock as and when needed (1). NB Answers that list three ways with no explanation of how the JIT method of stock control might benefit a business will get a maximum of 1 mark. No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 2 of 19 · Question 2 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – By offering food to passing trade they could entice them into the bakery. • Option 2 – The charity shops that *Loaf* works with could display the posters for free. **AO3** • Option 1 – They could use this as an opportunity to talk to people about what they do and how they help the local community therefore encouraging them to buy from the bakery or sign up for a cooking class. • Option 2 – It can be considered long-term, as posters stay up for some time and people visiting the charity shops may be enticed into visiting *Loaf,* which is nearby. **AO4** • Option 1 – However, by having someone outside giving out the samples means that the person is not working in the bakery selling goods, which could be considered a waste of time, and they are also giving out free food, which can be expensive. • Option 2 – However, it is a cheaper method of advertising but may not bring in the clientele that *Loaf* would want to purchase its goods.	**(9)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 2 of 19 · Question 2 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why marketing matters: needs, loyalty and share

Answer 2 of 19 · Question 2 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark

Type MS · Why marketing matters: needs, loyalty and share

Answer 3 of 19 · Question 2 part b · 1 mark

2020 NOV · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

2 (a)	**A02 = 1 mark** Award 1 mark for a valid non-financial method of motivating staff in the context of the business. • Discount on flights (1). • Discounts on car hire (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 = 1 mark** Award 1 mark for a valid reason of having a loyalty programme in the context of the business. • Encourages customers to fly again with *Emirates* (1). • Loyalty to *Emirates* airline rather than competing airlines (1). **Accept any other appropriate response.**	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 3 of 19 · Question 2 part b · 1 mark

2020 NOV · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**A01 = 3 marks** Award 1 mark for the identification of a benefit of having full-time employees, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • The workforce remains stable (1). Employees are well prepared for the job they are employed for (1). Opportunities may arise for employees to gain promotion when someone leaves (1). Answers that list three benefits of full-time employees with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (d)	**A01 = 3 marks** Award 1 mark for a reason for using seasonal staff, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Seasonal staff are employed when there is increased demand (1) this could be during holiday periods (1) when the full-time employees cannot meet the demand (1). Answers that list three reasons with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 3 of 19 · Question 2 part b · 1 mark

2020 NOV · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**A01 = 3 marks** Award 1 mark for identification of a reason for undertaking health and safety training, plus 2 further marks for explaining why health and safety training is beneficial to a business, for a maximum of 3 marks. • Employees undertake this training, because it could be the law in that country (1). By undertaking the training, employees are aware of the hazards within their job (1) so they know how to protect themselves when using equipment (1). NB Answers that list three benefits with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 3 of 19 · Question 2 part b · 1 mark

2020 NOV · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Questionnaires are easy for passengers to complete. • Option 2 – Focus groups allow passengers to give their opinions face-to-face. **AO3** • Option 1 – The questionnaire can be completed in as much detail as the passenger wants. • Option 2 –This means that passenger views on flights can be developed and investigated further if needed. **AO4** • Option 1 – However, often they are not filled in correctly and do not give the information about flights needed by *Emirates.* • Option 2 – However, a focus group can only be for a certain number of passengers and therefore might not give a true cross section of all classes of passengers.	**(9)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 3 of 19 · Question 2 part b · 1 mark

2020 NOV · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why marketing matters: needs, loyalty and share

Answer 3 of 19 · Question 2 part b · 1 mark

2020 NOV · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Answer	Mark

Type MS · Why marketing matters: needs, loyalty and share

Answer 4 of 19 · Question 2 part b · 1 mark

2021 NOV · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason for *Huawei* paying its employees above the minimum wage in the context of the business. • Employees are more likely to stay with *Huawei* and not move to a competitor such as Samsung to earn additional money **(1)** • Employees are less likely to take time off from making smartphones if they are paid well and will stay more committed to *Huawei* **(1)** • **Accept any other appropriate response.**	**(1)**

Question Number	State **one** possible reason why *Huawei* would want to keep its customers loyal to its brand. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *Huawei* would want to keep its customers loyal in the context of the business. • Loyal customers will return to *Huawei* when they need to upgrade their smartphones **(1)** • *Huawei* want its customers to return and purchase other products such as its tablets **(1)** **Accept any other appropriate response.**	**(1)**

4BS1 02 November 2021

Type MS · Why marketing matters: needs, loyalty and share

Answer 4 of 19 · Question 2 part b · 1 mark

2021 NOV · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** reason why having good public relations is important to a business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark why good public relations is important to a business, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By a business having good public relations means it is likely to improve its brand image **(1).** This could lead to increased sales and **(1)** overall profitability **(1)** NB No marks are awarded for a definition. Answers that list three reasons why good public relations are important to a business with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** benefit of being a multinational business. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a benefit of being a multinational business, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Multinationals operate globally **(1).** So, if the sales are low in one country this can be offset by high sales in another country **(1)** thus, thereby spreading the risk for the business **(1)** NB Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

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Type MS · Why marketing matters: needs, loyalty and share

Answer 4 of 19 · Question 2 part b · 1 mark

2021 NOV · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** reason why secondary research would be used by a business. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why secondary research would be of interest to a business, plus 2 further marks for explaining why it would be of interest to a business, for a maximum of 3 marks. • Secondary research already exists and is available **(1)** this can save a business a great deal of time and effort in collecting such information **(1).** The information can then be used to help the business to further develop its products or gain information on other businesses **(1)** NB Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

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Type MS · Why marketing matters: needs, loyalty and share

Answer 4 of 19 · Question 2 part b · 1 mark

2021 NOV · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	**Option 1:** financial **Option 2:** non-financial. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By offering financial methods to its employees such as bonus payments, piece rates, employees will remain productive • **Option 2** – If *Huawei* offers non-financial benefits such as job enrichment employees are more likely to enjoy working at the *Huawei* and feel motivated **AO3** • **Option 1** – Employees are more likely to stay with *Huawei* than move to another business • **Option 2** – Employees will gain new skills and feel valued by *Huawei*, which may help them gain promotion such as becoming a supervisor of a group of staff assembling tablets or watches **AO4** • **Option 1** – However, employees may not be interested in bonus payments if they are assembling tablets and they do not meet the targets set therefore not getting the additional wage • **Option 2** – However, not all employees are motivated by non-financial methods of motivation such as job enrichment, they may prefer to remain producing smartphones and would prefer to have additional wages in their payslips so that they can pay their bills	**(9)**

4BS1 02 November 2021

Type MS · Why marketing matters: needs, loyalty and share

Answer 4 of 19 · Question 2 part b · 1 mark

2021 NOV · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

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Type MS · Why marketing matters: needs, loyalty and share

Answer 4 of 19 · Question 2 part b · 1 mark

2021 NOV · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Define the term **revenue**. **Answer**	Mark

2 (a)	**A02 - 1 mark** Award 1 mark for a valid advantage for *PPS* of customer loyalty • Customers will be more likely to try the overnight accommodation for their pets if they have been pleased with the pet grooming service **(1)** **NB** Do not accept an advantage that is not in the context of *PPS.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** reason why *PPS* motivates its employees. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why *PPS* motivates its employees • As the employees are motivated in what they are doing the dogs staying overnight will receive good care **(1)** **NB** Do not accept a reason that is not in the context of *PPS.* **Accept any other appropriate response.**	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 5 of 19 · Question 2 part a · 1 mark

2024 JUN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** impact on a business of ineffective communication. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of an impact to a business of ineffective communication, plus 2 further marks for explaining this impact, for a maximum of 3 marks. • This can create misunderstanding between owners and employees **(1)** as employees may not be clear of what they are supposed to be doing **(1)** and this could lead to errors being made **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** advantage to a business of having a decentralised organisation. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for an advantage to a business of having a decentralised organisation, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • The business can react to changes quicker **(1)** because they do not need to run decisions through many layers **(1)** leading to decisions being made that meet the needs of local customers **(1)** **NB** Answers that list three advantage with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 5 of 19 · Question 2 part a · 1 mark

2024 JUN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** benefit to a business of using seasonal employees. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a benefit of using seasonal employees, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • This gives the business flexibility with its workforce **(1)** by having more employees at busier times **(1)** allowing them to meet the demands of customers at certain times of the year **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 5 of 19 · Question 2 part a · 1 mark

2024 JUN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	*PPS* is looking to improve its revenue and is considering two options. Option 1: trial a new brand of dog food in the shop Option 2: sponsor a local dog show. Justify which one of these two options *PPS* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – trialling a new brand of dog food will appeal to dog owners who regularly purchase dog food from *PPS* • **Option 2** – sponsoring a local dog show will promote *PPS*'s products such as dog collars **AO3** • **Option 1** – This method can bring in more revenue as it is a product they are known for selling and if customers like it then they will buy more of that dog food • **Option 2** – This may draw customers into the shop and could lead to an increase in revenue **AO4** • **Option 1** – However, if customers are used to buying a particular dog food brand they may not want to try a new brand • **Option 2** – However, it does cost to sponsor an event so *PPS* would need to incur cost upfront before they gain an increase in revenue from this method	**(9)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 5 of 19 · Question 2 part a · 1 mark

2024 JUN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why marketing matters: needs, loyalty and share

Answer 5 of 19 · Question 2 part a · 1 mark

2024 JUN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Define the term **diseconomies of scale.** **Answer**	Mark

Type MS · Why marketing matters: needs, loyalty and share

Answer 6 of 19 · Question 1 part d · 1 mark

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is A –** Continuous improvement **B** – is not the correct answer as just-in-time (JIT) is the arrival of supplies when needed **C** – is not the correct answer as market orientation is not manufacturing **D** – is not the correct answer as job production is where employees make one unit at a time	**(1)**

Q. No.	Which **one** of the following function areas would pay its employees' wages? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A** - Finance **B** – is not the correct answer as Human resources deals with recruitment **C** – is not the correct answer as Marketing deals with the promotion of the product **D** – is not the correct answer as Production deals with the manufacture of goods	**(1)**

Q. No.	Which **one** of the following is the price of the shoes in pounds? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B** – £594.54 **A** – is not the correct answer as £565.00 is 5.65 x 100 **C** – is not the correct answer as £3 353.48 is 3 359.13 – 5.65 **D** - is not the correct answer as £18 979.08 is 3 359.13 x 5.65	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 6 of 19 · Question 1 part d · 1 mark

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Q. No.	Which **one** of the following is a benefit of being a sole trader? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C** – Independence for the owner **A –** is not the correct answer as it is not easy for a sole trader to raise additional capital **B** – is not the correct answer as decisions are not shared **D** – is not the correct answer as sole traders do not have limited liability	**(1)**

Q. No.	Which **one** of the following is the closing balance for the business? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is B** – £48 000 **A** – is not the correct answer as £44 000 is cash inflow plus cash outflow **C** – is not the correct answer as £55 000 is opening balance plus cash outflow **D** – is not the correct answer as £65 000 is opening balance plus cash inflow	**(1)**

Q. No.	Which **one** of the following is an advantage of primary market research? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is D** It is a more up to date method of research **A** – is not the correct answer as it is more expensive due to being tailor-made to the business **B** – is not the correct answer as primary research takes more time due to carrying out surveys **C** – is not the correct answer as primary market research is not always done by market research agencies	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 6 of 19 · Question 1 part d · 1 mark

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Q. No.	Define the term **e-newsletter**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **e-newsletter.** • Information sent electronically by a business to its customers **(1)**	**(1)**

Q. No.	Define the term **minimum wage.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **minimum wage.** • The lowest legal hourly wage rate that can be paid to workers **(1)**	**(1)**

Q. No.	State **one** reason why *Jimmy Choo* would want loyal customers. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Jimmy* Choo would want loyal customers in the context of the business. • If *Jimmy Choo* designs and manufactures handbags then existing customers are more likely to return to buy more handbags **(1)** • Loyal customers are more likely to return to buy new shoes **(1)** **NB** Do not accept a reason that is not in the context of *Jimmy Choo.* **Accept any other appropriate response.**	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 6 of 19 · Question 1 part d · 1 mark

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Q. No.	Calculate, the predicted value of recycled plastic for 2027. You are advised to show your working. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 41.73 x 0.066 = 2.75 **(1)** 41.73 + 2.75 = 44.48 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** reason why businesses comply with equal opportunities legislation. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for a valid reason why businesses comply with equal opportunities legislation, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Businesses comply with the law as it is a legal requirement. **(1)** They cannot discriminate against a person because of gender/race/age. **(1)** The business could be taken to court and sued if they do not comply **(1)** • If the business is not compliant with legislation **(1)** then employers **(1)** are liable to be sued **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 6 of 19 · Question 1 part d · 1 mark

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Q. No.	Analyse **two** problems for *Jimmy Choo* if customer needs are not satisfied. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers may be disappointed with their shoes and will go elsewhere to buy their next pair • Revenue may fall if a new perfume does not meet the standard that customer need and want **AO3** • This could have a large impact on *Jimmy Choo*'s sales and profits • This could incur a loss of revenue and may impact further upon *Jimmy Choo*'s expansion plans	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 6 of 19 · Question 1 part d · 1 mark

2024 JUN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Q. No.	State **one** non-financial objective *Jimmy Choo* might have. **Answer**	**Mark**

Type MS · Why marketing matters: needs, loyalty and share

Answer 7 of 19 · Question 2 part a · 1 mark

2024 JUN · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a possible reason why *TUI* would want to keep its customers loyal in the context of the business • Loyal customers will return to *TUI* when they want to book another one of its hotels, thereby increasing its revenue **(1)** • *TUI* wants its customers to return again and again to purchase different types of cruises thereby increasing revenue **(1)** **NB** Do not accept a possible reason that is not in the context of *TUI*. Accept any appropriate response	**(1)**

Q. No.	State **one** reason why *TUI* would employ casual employees. **Answer**	**Mark**
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid reason why *TUI* employs casual staff in the context of the business • If an employee is off sick at a holiday resort someone is needed to cover the greeting of customers arriving at holiday hotels **(1)** • During busy times when there are many people taking holidays extra employees may be needed to sell tours and excursions **(1)** **NB** Do not accept a reason that is not in the context of *TUI*. Accept any appropriate response	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 7 of 19 · Question 2 part a · 1 mark

2024 JUN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Q. No.	Explain **one** reason why businesses employ people with disabilities. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason why businesses employ people with disabilities, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Employing people with a disability gives them an equal opportunity of working **(1)** which improves their lifestyle **(1)** and develops the skills they have **(1)** • Businesses must follow government legislation relating to disabled people **(1)** if businesses do not follow the legislation **(1)** they can be sued **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 7 of 19 · Question 2 part a · 1 mark

2024 JUN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Q. No.	Explain **one** benefit to a business of having a short chain of command. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one benefit to a business of having a short chain of command, plus 2 further marks for explaining the benefits, for a maximum of 3 marks. • Communication within a business would be faster **(1)** as there are less levels to go through **(1)** so fewer mistakes may be made **(1)** • A short chain means that workers and managers work closely together. **(1)** Managers are less remote **(1)** and if there is a query it can be answered quickly **(1)** **NB** No marks are awarded for a definition. Answers that list three benefits with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** important piece of information that should be included in a job advertisement in a newspaper. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of one important piece of information that should be included in a job advertisement in a newspaper, plus 2 further marks for explaining the importance, for a maximum of 3 marks. • An address, telephone number or website **(1)** to use for making contact **(1)** this range would give a greater choice to applicants **(1)** • By including the salary in the advertisement **(1)** people will apply if the amount offered is of interest to them **(1)** saving applicants time and effort so they apply for the job they want **(1)** **NB** No marks are awarded for a definition. Answers that list three pieces of information with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 7 of 19 · Question 2 part a · 1 mark

2024 JUN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Q. No.	**Option 1:** competition pricing **Option 2:** promotional pricing Justify which **one** of these two options *TUI* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – If *TUI* uses this method of pricing, then it is like to gain sales for the holiday, as customers will want to book as the price is comparable to other holiday businesses • **Option 2** – Selling holidays and experiences at a cheaper price encourages customers to move from other travel agents to *TUI* **AO3** • **Option 1** – This pricing strategy means that customers have more choice from travel businesses offering this destination as they are all priced at a similar level • **Option 2** – This could mean that *TUI* gains a larger market share of holidaymakers who switch from other travel agents **AO4** • **Option 1** – However, this does not mean that the cost of including this holiday in its brochures is covered, and if *TUI* uses this method, it could lose out financially • **Option 2** – However, promotional pricing may generate sales for the short promotional period, but once the price of the holiday reverts to its normal price sales could reduce	**(9)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 7 of 19 · Question 2 part a · 1 mark

2024 JUN · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why marketing matters: needs, loyalty and share

Answer 7 of 19 · Question 2 part a · 1 mark

2024 JUN · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Q. No.	Define the term **multinationals.** **Answer**	Mark

Type MS · Why marketing matters: needs, loyalty and share

Answer 8 of 19 · Question 2 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid financial method of motivation *CCT* could use with its employees. • Commission paid for each customer booked on a cycle tour **(1)** **NB** Do not accept a factor that is not in the context of *CCT.* **Accept any other appropriate response**.	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 8 of 19 · Question 2 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question Number	State **one** benefit to *CCT* of satisfying customer needs. **Answer**	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid benefit to *CCT* of satisfying customer needs. • Its customers will recommend the cycle tours to friends and family **(1)** **NB** Do not accept a benefit that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Explain **one** way a business could increase its profit. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a way a business could increase its profit, plus 2 further marks for explaining this way, for a maximum of 3 marks. • Increase the price of the product **(1)** if customers feel the quality is high they may be willing to pay the new price **(1)** and if costs stay the same profit will increase **(1)** **NB** Answers that list three ways with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 8 of 19 · Question 2 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** way that the introduction of tariffs might affect a business importing goods. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for a way that the introduction of tariffs might affect a business importing goods, plus 2 further marks for explaining this impact, for a maximum of 3 marks. • Imported products will now become more expensive **(1)** because of the tax imposed on imports **(1)** which may lead to a decrease in sales for the importer **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Question Number	Explain **one** reason why quality control is important to a business. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why quality control is importance to a business, plus 2 further marks for explaining that reason, for a maximum of 3 marks. • Improved customer satisfaction **(1)** as defects would be identified before goods are despatched to customers **(1)** leading to fewer returns from customers **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 8 of 19 · Question 2 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question Number	The owner of *CCT* wants to measure the success of the business. The owner is considering two options: **Option 1:** customer satisfaction **Option 2:** profit Justify which **one** of these two options the owner of *CCT* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Customer satisfaction will indicate to *CCT* how happy customers are with the level of the bicycle touring service • **Option 2** – a high level of profit will show *CCT* they can provide the bicycle tours at a cost which is lower than the price they are selling them for **AO3** • **Option 1** – Customer satisfaction would be a useful measure of success since it would tell *CCT* the strengths of its brand and what customer are happy with • **Option 2** – it would be a useful measure as it will show that the business is financially viable and it can cover any costs incurred **AO4** • **Option 1** – However, it is difficult to measure customer satisfaction accurately as it relies on customers leaving reviews and providing honest feedback of their experiences • **Option 2** – However, profit can be affected by short-term fluctuations in the market, making it difficult to measure success over a longer period of time	**(9)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 8 of 19 · Question 2 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why marketing matters: needs, loyalty and share

Answer 8 of 19 · Question 2 part b · 1 mark

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Define the term **share capital.** **Answer**	Mark

Type MS · Why marketing matters: needs, loyalty and share

Answer 9 of 19 · Question 3 part b · 2 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

3 (a)	**A01 = 1 mark** Award 1 mark for a correct definition of job share. • Two part-time employees share a single job (1).	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 = 2 marks** Award 1 mark for identifying a reason why high levels of customer satisfaction are important to *Loaf*, plus 1 further mark for linking it to the context of the question. • Returning customers will buy bakery products increasing revenue (1) and potentially higher profits could be returned to the local community (1). **NB** Do not accept a reason that is not in the context of *Loaf*. **Accept any other appropriate response**.	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 = 2 marks** 22 - 4 = 18 (1) 18 ÷ 90 x 100 = 20 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 9 of 19 · Question 3 part b · 2 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Loaf* can see how the business is performing and can calculate the operating profit margin of 20%. • *Loaf* can use this information to compare itself to other bakeries or cooking schools. **AO3** • Other calculations can be made and could allow *Loaf* to take action if performance has deteriorated. • This will enable *Loaf* to judge its performance against its competitors, giving an indication of how well the business is doing.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Why marketing matters: needs, loyalty and share

Answer 9 of 19 · Question 3 part b · 2 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Pop-up events showcasing its bakery products across the country will lead to higher sales. • Option 2 – Introducing different cookery courses will target new customers wanting to learn new cookery skills. **AO3** • Option 1 – As *Loaf* already runs pop-up events it will not be costly to run these in other areas. The revenue from these events will increase cash inflow while the cost may only have a small effect on cash outflow. • Option 2 – By offering a wider range of cookery courses this may increase cash inflow and make use of its existing facilities, generating increased inflows. **AO4** • Option 1 – However, as Loaf may not be known and the costs of running these pop- up events across the country could be higher than the revenue from them leading to a negative net cash flow. • Option 2 – However, this may not increase net cash flow because *Loaf* will still have to run the classes even if they are not full so could end up spending more on the teachers and food, resulting in higher outflows than inflows.	**(9)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 9 of 19 · Question 3 part b · 2 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why marketing matters: needs, loyalty and share

Answer 9 of 19 · Question 3 part b · 2 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Why marketing matters: needs, loyalty and share

Answer 10 of 19 · Question 2 part c · 3 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid impact that government legislation may have on *Can Culleretes* in the context of *Can Culleretes.* • The chefs may need to be retrained to stay up to date with new health and safety regulations **(1)** **NB:** Do not accept an impact that is not in the context of *Can Culleretes.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** way *Can Culleretes* might add value to its business. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a valid way *Can Culleretes* might add value in the context of *Can Culleretes.* • *Can Culleretes* can use high quality organic vegetables in its Mediterranean food **(1)** **NB:** Do not accept a method that is not in the context of *Can Culleretes.* **Accept any other appropriate response.**	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 10 of 19 · Question 2 part c · 3 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** method a business could use to encourage repeat purchase of its products **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a method a business could use to encourage repeat purchase of its products, plus 2 further marks for explaining this method, for a maximum of 3 marks. • Issue loyalty cards **(1)** which could be used to offer special discounts **(1)** leading to customers being motivated to return to the business rather than its competitors **(1)** NB Answers that list three methods with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** disadvantage of using personal savings as a source of finance for a business. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage of using personal savings as a source of finance, plus 2 further marks for explaining this disadvantage, for a maximum of 3 marks. • Money to deal with an emergency may not be available **(1)** so there is no backup if things go wrong **(1)** meaning that it may be necessary to find another source of finance **(1)** **NB** Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response**.	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 10 of 19 · Question 2 part c · 3 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** benefit for a business of motivating its employees. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a benefit of motivating employees, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • Retention of employees **(1)** avoids spending time and money on recruitment **(1)** allowing the business to concentrate elsewhere **(1)** NB Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 10 of 19 · Question 2 part c · 3 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	*Can Culleretes* is looking to improve its revenue and is considering two options. Option 1: increase advertising Option 2: opening for breakfast. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – An increase in advertising can reach new customers and tourists visiting Barcelona • **Option 2** – By opening for breakfast Montserrat and Alicia can attract existing and new customers **AO3** • **Option 1** – This method can improve its revenue by drawing in new customers who may not have heard the restaurant before • **Option 2** – This method may make the restaurant stand out as it is offering something it has not done before in its long history **AO4** • **Option 1** – However, it depends on the method of advertising as it can be expensive so although revenue may improve it will be a cost for the business • **Option 2** – However, as it is only a small restaurant they may need to employ more staff as well but this could lead to an increase in costs	**(9)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 10 of 19 · Question 2 part c · 3 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why marketing matters: needs, loyalty and share

Answer 10 of 19 · Question 2 part c · 3 marks

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Define the term **non-current assets.** Answer	Mark

Number	Answer	
3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **fringe benefits**. • Additional benefits over and above the normal wage or salary **(1)**	**(1)**

Question Number	Outline **one** way *Irsi Chocolatier* could keep customer loyalty. **Answer**	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a way *Irsi Chocolatier* could keep customer loyalty, plus 1 further mark for linking it to the context of the business. • *Irsi Chocolatier* could promote their chocolates **(1)** by introducing a new range of flavours **(1)** **NB** Do not accept a way that is not in the context of *Irsi Chocolatier*. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate, to two decimal places, the current ratio. **Answer**	Additional guidance	Mark
3 (c)	**A02 - 2 marks** 26 000/14 852 **(1)** = 1.75 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 11 of 19 · Question 3 part b · 2 marks

2023 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Analyse the limitations for *Irsi Chocolatier* of using break-even charts to decide whether it should sell the new product. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Break-even charts make the assumption that all of the new chocolate lollipops will be sold • The chart shows the costs for the chocolate lollipops as a straight line not taking into account other costs that may occur along the way **AO3** • This could lead to false data as it does not take into account any wasted or damaged stock not sold • This could lead to overspending if *Irsi Chocolatier* have not taken into account other costs or if customers do not like the new product	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Why marketing matters: needs, loyalty and share

Answer 11 of 19 · Question 3 part b · 2 marks

2023 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	*Irsi Chocolatier* is considering two options: **Option 1:** train the new employee on-the-job **Option 2:** train the new employee off-the-job. Justify which **one** of these two options *Irsi Chocolatier* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Offering on-the-job training allows the new employee to see current chocolate making techniques • **Option 2** – Offering off-the-job training allows the new employee to learn new techniques of producing chocolates from lecturers at a college **AO3** • **Option 1** – This may increase the levels of production as the employee will be producing whilst training allowing *Irsi Chocolatier* to meet the increased demand • **Option 2** – Therefore the new employee could bring new ideas into the business making it more efficient producing more in less time **AO4** • **Option 1** – However, as *Irsi Chocolatier* only has 3 employees there may not be someone who can dedicate the time to train the new employee to the standard required • **Option 2** – However, this can be costly as the employee will have to attend an external course rather than learn on the job	**(9)**

Level	Mark	Descriptor

Type MS · Why marketing matters: needs, loyalty and share

Answer 11 of 19 · Question 3 part b · 2 marks

2023 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why marketing matters: needs, loyalty and share

Answer 11 of 19 · Question 3 part b · 2 marks

2023 JUN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Calculate, to two decimal places, the operating profit margin. **Answer**	**Additional guidance**	**Mark**

Type MS · Why marketing matters: needs, loyalty and share

Answer 12 of 19 · Question 2 part e · 3 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 7 · find part e in this mark scheme extract

	Answer	
2 (a)	**A02 - 1 mark** Award 1 mark for a valid fringe benefit *Aude Rose* could offer its employees in the context of the business. • It could offer its employees training for a qualification as a florist **(1)** **NB** Do not accept a fringe benefit that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(1)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Why marketing matters: needs, loyalty and share

Answer 12 of 19 · Question 2 part e · 3 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 7 · find part e in this mark scheme extract

Question Number	State **one** reason why branding is important to *Aude Rose*. **Answer**	Mark
2 (b)	**A02 - 1 mark** Award 1 mark for a valid reason why branding is important to *Aude Rose* in the context of the business. • It makes the business stand out against other flower shops in Paris **(1)** **NB** Do not accept a reason that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(1)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Why marketing matters: needs, loyalty and share

Answer 12 of 19 · Question 2 part e · 3 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** impact of ineffective communication on a business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of an impact of ineffective communication on a business, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • More mistakes could be made **(1)** as employees will not know what they are doing **(1)** leading to low customer satisfaction **(1)** **NB** Answers that list three impacts with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Explain **one** advantage of a partnership. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of an advantage of a partnership, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • Different partners may have different skills **(1)** and be able to offer a wider range of services **(1)** which could lead to increased business **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Why marketing matters: needs, loyalty and share

Answer 12 of 19 · Question 2 part e · 3 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** disadvantage to a business of product orientation. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for the identification of a disadvantage to a business of product orientation, plus 2 further marks for explaining that disadvantage, for a maximum of 3 marks. • Product may not suit the needs of the customer **(1)** so potential customers may go elsewhere **(1)** resulting in the business losing sales **(1)** **NB** Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Why marketing matters: needs, loyalty and share

Answer 12 of 19 · Question 2 part e · 3 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 7 · find part e in this mark scheme extract

Question Number	*Aude Rose* is considering two options. **Option 1**: sponsor a local event such as a flower show **Option 2**: advertise, using leaflets around Paris. Justify which **one** of these two options *Aude Rose* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – The event will increase the awareness of her flower shop • **Option 2** – Leaflets can be handed out to passing tourists to draw them to the flower shop **AO3** • **Option 1** – If the flower show is a success, potential customers will have a positive opinion of *Aude Rose* • **Option 2** – The leaflet can include more information such as shop opening hours and the range of flowers being sold **AO4** • **Option 1** – However, these events can be expensive to sponsor so whilst sales may increase there is no guarantee profits will increase • **Option 2** – However, this would mean that someone would have to take time out of the shop to hand out the leaflets or increase costs by paying someone to hand them out	**(9)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Why marketing matters: needs, loyalty and share

Answer 12 of 19 · Question 2 part e · 3 marks

2023 JUN · Paper 01 (regional R) · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Why marketing matters: needs, loyalty and share

Answer 12 of 19 · Question 2 part e · 3 marks

2023 JUN · Paper 01 (regional R) · extract 7 of 7 · find part e in this mark scheme extract

Question Number	Define the term **variable costs.** Answer	Mark

2 (a)	**A02 - 1 mark** Award 1 mark for a fixed costs that *Ocean Vibes* are likely to pay. • Wages/salaries paid to the tour guides **(1)** • Rent/fees paid to the tourist resort **(1)** **NB** Do not accept a reason that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** method of primary research *Ocean Vibes* may use. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a method of primary research *Ocean Vibes* may use • Dolphin tour customer survey **(1)** • Scientist focus group **(1)** **NB** Do not accept a method that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 13 of 19 · Question 2 part c · 3 marks

2025 NOV · Paper 01 · extract 2 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** advantage to a business of having high market share. **Answer**	**Mark**
2 (c)	**A01 - 3 marks** Award 1 mark for one advantage to a business of having a high market share, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • The business is likely to have loyal customers **(1)** as the business is performing better than competitors in terms of sales volume/revenue **(1)** leading to higher potential profitability **(1)** • Higher market share can generate higher sales **(1)** this would allow the business to benefit from economies of scale **(1)** reducing the total costs of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages of a business having a high market share with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 13 of 19 · Question 2 part c · 3 marks

2025 NOV · Paper 01 · extract 3 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** advantage to a business of using e-commerce to sell its products. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for an advantage to a business of using e-commerce to sell its products, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • A business may reduce its costs **(1)** as it may not have to pay for a retail store/office **(1)** leading to increased levels of profit for the business **(1)** • More customers will use an online business rather than going to a store **(1)** this will increase the revenue of the business **(1)** leading to increased market share **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages of using e-commerce to sell its products with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 13 of 19 · Question 2 part c · 3 marks

2025 NOV · Paper 01 · extract 4 of 7 · find part c in this mark scheme extract

Question Number	Explain **one** reason why shareholders would be interested in the financial documents of a business. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why shareholders would be interested in the financial documents of a business, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Shareholders may review the financial documents to assess if the business is making a profit **(1)** as the shareholder is interested in gaining a return on their investment **(1)** which may help them to decide to either sell their shares or buy more shares in the business **(1)** • To compare the financial performance of the business **(1)** in order to identify cost savings **(1)** which can help to improve the profitability of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why shareholders would be interested in the financial documents of a business, with no explanation will get a maximum of 1 mark **Accept any other appropriate response.**	**(3)**

Question Number	The owners of *Ocean Vibes* plan to grow the business. They are considering two options to finance the growth: **Option 1:** venture capital **Option 2:** loan capital. Justify which **one** of these two options the owners of *Ocean Vibes* should choose **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – *Ocean Vibes* may appeal to an individual who wishes to invest in a business that is concerned with the welfare of birds and dolphins • **Option 2** – *Ocean Vibes* could use a loan to buy new boats to enable it to offer more boat tours **AO3** • **Option 1** – The venture capitalist may offer advice to the young scientists to help them increase the revenue of *Ocean Vibes* • **Option 2** – It is possible that a loan for a large amount of money can be received from the bank quickly to enable *Ocean Vibes* to buy new boats for its business **AO4** • **Option 1** – However, the venture capitalist may wish to take some control of the business which may cause disagreement within the business • **Option 2** – However, interest will be paid on the loan in addition to the loan amount which will increase costs and possibly reduce profitability	**(9)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 13 of 19 · Question 2 part c · 3 marks

2025 NOV · Paper 01 · extract 6 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why marketing matters: needs, loyalty and share

Answer 13 of 19 · Question 2 part c · 3 marks

2025 NOV · Paper 01 · extract 7 of 7 · find part c in this mark scheme extract

Question Number	Define the term **span of control.** **Answer**	Mark

Type MS · Why marketing matters: needs, loyalty and share

Answer 14 of 19 · Question 1 part g · 6 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 5 · find part g in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B -** Overdraft	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **C –** Maturity	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **D -** Rent for *Lavender*'s businesses	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **A–** Health and safety	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** 11 250	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **D** - 8 514.00	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of short-term finance. Money borrowed that must be paid back within 12 months **(1).**	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 14 of 19 · Question 1 part g · 6 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of above the line promotion. The use of mass media methods to promote to a large audience **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a correct reason why *Lavender* would recruit internally in the context of the business. • Employees will know how the different outlets operate such as *L.cafe* **(1).** • Employee will already have knowledge of the cakes made by the business **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 25 x 12 = 300 15/100 x 300 = 45 300 – 45 **(1).** = 255 **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 14 of 19 · Question 1 part g · 6 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for identification of an advantage, plus 2 further marks for explaining how this advantage will affect the business for a maximum of 3 marks. • The franchisee invests in a tried and tested business **(1)** and gets advice and training from the franchisor **(1)** this reduces the risk of failure **(1).** Answers that list more than one advantage with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 14 of 19 · Question 1 part g · 6 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 5 · find part g in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Satisfied customers are more likely to repeat purchase of cakes from *Lavender* bakery. • *Lavender* is expanding into different types of food outlets such as *L.bistro, L.cafe* and *L.table.* **AO3** • This leads to an increase in sales and customer loyalty so *Lavender* could end up spending less on promoting their products as satisfied customers will recommend other *Lavender* businesses to their friends and family through word of mouth. • Customer satisfaction in one outlet may lead to customers trying other outlets leading to improved revenues.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Why marketing matters: needs, loyalty and share

Answer 14 of 19 · Question 1 part g · 6 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark

Type MS · Why marketing matters: needs, loyalty and share

Answer 15 of 19 · Question 1 part g · 6 marks

2019 JUN · Paper 01 · extract 1 of 5 · find part g in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B -** Government reports	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **C -** Increased market share	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **A -** Bank loan	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **C –** Production	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **A -** 2 489.60 Ks	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 - 1 mark** **D -** The cost of importing a handbag would fall	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of stakeholder. • Individuals or groups with an interest in the success or failure of a business **(1).**	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 15 of 19 · Question 1 part g · 6 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of quantitative data. • Data that is measured by value and expressed/represented as numbers **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid response which relates to a method of on-the-job training in the context of the business. • Shadowing a fellow shoe fitter **(1).** • Demonstrating how customers are advised between different shoe brands **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 500 500/ 570 000 x 100 **(1)** Answer 87.81% **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 15 of 19 · Question 1 part g · 6 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for identification of a way, plus 2 further marks for explaining how this way will affect a business for a maximum of 3 marks. • A business could negotiate deals with suppliers at a cheaper rate **(1)** this will keep costs as low as possible **(1)** meaning that the business can look to reduce the prices of their products/services to encourage more sales **(1).** Answers that list three ways with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 15 of 19 · Question 1 part g · 6 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part g in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Backyard Shoez* is located in three shopping malls where there are other shoe shops. • *Backyard Shoez* need to maintain a high standard at all times to encourage customers to buy its shoes and bags. **AO3** • If customer needs are not met then present customers are likely to go to other shoe shops. • *Backyard Shoez* will maintain customer loyalty with positive effects on sales and revenue.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Why marketing matters: needs, loyalty and share

Answer 15 of 19 · Question 1 part g · 6 marks

2019 JUN · Paper 01 · extract 5 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark

Type MS · Why marketing matters: needs, loyalty and share

Answer 16 of 19 · Question 1 part g · 6 marks

2021 JUN · Paper 01 · extract 1 of 7 · find part g in this mark scheme extract

1 (a) (i)	AO1 - 1 mark **1 (a) (i) The only correct answer is C** **A** is not correct because personal savings are an internal source of finance **B** is not correct because retained profit is an internal source of finance **D** is not correct because selling assets is an internal source of finance	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	AO1 - 1 mark **1 (a) (ii) The only correct answer is B** **A** is not correct because penetration pricing is where a business sets a low price for a new product **C** is not correct because competition pricing is where a business sets a price for a product in line with its competitors **D** is not correct because promotional pricing is where a business lowers the price of a product for a short time	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 16 of 19 · Question 1 part g · 6 marks

2021 JUN · Paper 01 · extract 2 of 7 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iii)	AO1 - 1 mark **1 (a) (iii) The only correct answer is A** **B** is not correct because discrimination by ability is not protected by legislation **C** is not correct because social discrimination is not protected by legislation **D** is not correct because ethical discrimination is not protected by legislation	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	AO1 - 1 mark **1 (a) (iv) The only correct answer is D** **A** is not correct because a curriculum vitae would be sent to the employer **B** is not correct because a letter of application would be sent to the employer **C** is not correct because a newspaper advertisement would be used to advertise the job vacancy	**(1)**

Question Number	Answer	Mark
1 (a) (v)	AO2 - 1 mark **1 (a) (v) The only correct answer is B** **A** is not correct because it is the exchange rate in euros **C** is not correct because it is the cost of 1kg of dried fruits **D** is not correct because it is the cost of 1kg of dried fruits added to the exchange rate of the euro	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 16 of 19 · Question 1 part g · 6 marks

2021 JUN · Paper 01 · extract 3 of 7 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (a) (vi)	AO2 - 1 mark **1 (a) (vi) The only correct answer is C** **A** is not correct because it is the cost of a jar of honey formatted as a percentage **B** is not correct because it is the selling price of a jar of honey minus the cost of a jar of honey as a percentage **D** is not correct because it is double the mark up of a jar of honey	**(1)**

Question Number	Define the term profit Answer	Mark
1 (b)	AO1 - 1 mark Award 1 mark for a correct definition of profit. • Total revenue – total costs (1).	**(1)**

Question Number	Define the term non-current liabilities Answer	Mark
1 (c)	AO1 - 1 mark Award 1 mark for a correct definition of non-current liabilities. • Debts that are payable after 12 months (1).	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 16 of 19 · Question 1 part g · 6 marks

2021 JUN · Paper 01 · extract 4 of 7 · find part g in this mark scheme extract

Question Number	State one reason why NOF segments its target market by income Answer	Mark
1 (d)	A02 - 1 mark Award 1 mark for a reason why NOF segments its target market by income. • NOF can sell higher priced organic products to people staying at the farm (1). Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	A02 - 2 marks 90 – 10 = 80 (1) 80/160 x 100 = 50 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 16 of 19 · Question 1 part g · 6 marks

2021 JUN · Paper 01 · extract 5 of 7 · find part g in this mark scheme extract

Question Number	Explain one strategy a small business might use to extend the product life cycle of one of its products Answer	Mark
1 (f)	A01 - 3 marks Award 1 mark for identification of a strategy of extending a product life cycle, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Local advertising could extend the life cycle of a product (1). A small business could deliver leaflets to the local area to increase customer awareness of a product (1) leading to a potential increase in sales (1). NB Answers that list three strategies with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Question Number	Analyse the importance of marketing to NOF Indicative content	Mark
1 (g)	AO2 = 3 marks AO3 = 3 marks AO2 • Result from marketing would enable NOF to adapt its overnight accommodation to what the customers want. • Marketing can be used to make customers aware of its organic honey. AO3 • This may lead to increased bookings for the overnight accommodation. • Sales of organic honey may increase.	**(6)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 16 of 19 · Question 1 part g · 6 marks

2021 JUN · Paper 01 · extract 6 of 7 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Why marketing matters: needs, loyalty and share

Answer 16 of 19 · Question 1 part g · 6 marks

2021 JUN · Paper 01 · extract 7 of 7 · find part g in this mark scheme extract

Question Number	State one external factor that could cause a change in demand for NOF products Answer	Mark

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is A –** Continuous improvement **B** – is not the correct answer as just-in-time (JIT) is the arrival of supplies when needed **C** – is not the correct answer as market orientation is not manufacturing **D** – is not the correct answer as job production is where employees make one unit at a time	**(1)**

Q. No.	Which **one** of the following function areas would pay its employees' wages? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A** - Finance **B** – is not the correct answer as Human resources deals with recruitment **C** – is not the correct answer as Marketing deals with the promotion of the product **D** – is not the correct answer as Production deals with the manufacture of goods	**(1)**

Q. No.	Which **one** of the following is the price of the shoes in pounds? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B** – £594.54 **A** – is not the correct answer as £565.00 is 5.65 x 100 **C** – is not the correct answer as £3 353.48 is 3 359.13 – 5.65 **D** - is not the correct answer as £18 979.08 is 3 359.13 x 5.65	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 17 of 19 · Question 1 part g · 6 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Q. No.	Which **one** of the following is a benefit of being a sole trader? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C** – Independence for the owner **A –** is not the correct answer as it is not easy for a sole trader to raise additional capital **B** – is not the correct answer as decisions are not shared **D** – is not the correct answer as sole traders do not have limited liability	**(1)**

Q. No.	Which **one** of the following is the closing balance for the business? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is B** – £48 000 **A** – is not the correct answer as £44 000 is cash inflow plus cash outflow **C** – is not the correct answer as £55 000 is opening balance plus cash outflow **D** – is not the correct answer as £65 000 is opening balance plus cash inflow	**(1)**

Q. No.	Which **one** of the following is an advantage of primary market research? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is D** It is a more up to date method of research **A** – is not the correct answer as it is more expensive due to being tailor-made to the business **B** – is not the correct answer as primary research takes more time due to carrying out surveys **C** – is not the correct answer as primary market research is not always done by market research agencies	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 17 of 19 · Question 1 part g · 6 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Q. No.	Define the term **e-newsletter**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **e-newsletter.** • Information sent electronically by a business to its customers **(1)**	**(1)**

Q. No.	Define the term **minimum wage.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **minimum wage.** • The lowest legal hourly wage rate that can be paid to workers **(1)**	**(1)**

Q. No.	State **one** reason why *Jimmy Choo* would want loyal customers. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Jimmy* Choo would want loyal customers in the context of the business. • If *Jimmy Choo* designs and manufactures handbags then existing customers are more likely to return to buy more handbags **(1)** • Loyal customers are more likely to return to buy new shoes **(1)** **NB** Do not accept a reason that is not in the context of *Jimmy Choo.* **Accept any other appropriate response.**	**(1)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 17 of 19 · Question 1 part g · 6 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Q. No.	Calculate, the predicted value of recycled plastic for 2027. You are advised to show your working. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 41.73 x 0.066 = 2.75 **(1)** 41.73 + 2.75 = 44.48 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** reason why businesses comply with equal opportunities legislation. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for a valid reason why businesses comply with equal opportunities legislation, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Businesses comply with the law as it is a legal requirement. **(1)** They cannot discriminate against a person because of gender/race/age. **(1)** The business could be taken to court and sued if they do not comply **(1)** • If the business is not compliant with legislation **(1)** then employers **(1)** are liable to be sued **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 17 of 19 · Question 1 part g · 6 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Q. No.	Analyse **two** problems for *Jimmy Choo* if customer needs are not satisfied. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers may be disappointed with their shoes and will go elsewhere to buy their next pair • Revenue may fall if a new perfume does not meet the standard that customer need and want **AO3** • This could have a large impact on *Jimmy Choo*'s sales and profits • This could incur a loss of revenue and may impact further upon *Jimmy Choo*'s expansion plans	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 17 of 19 · Question 1 part g · 6 marks

2024 JUN · Paper 02 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Q. No.	State **one** non-financial objective *Jimmy Choo* might have. **Answer**	**Mark**

4 (a)	**A02 - 2 marks** 10.3 / 25.9 **(1)** X 100 = 39.77 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse why *Cadbury* may have needed to take out an overdraft. **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** <u>AO2</u> • An overdraft would allow *Cadbury* to withdraw temporary funds from its bank account to pay suppliers for an unexpected delivery of cocoa • If *Cadbury* needs to pay an unexpected bill to keep the factory working <u>AO3</u> • It is flexible as *Cadbury* will only pay interest on the amount they are overdrawn • By using an overdraft, the factory can carry on producing whilst *Cadbury* improves its cash flow	**(6)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 18 of 19 · Question 4 part c · 12 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Why marketing matters: needs, loyalty and share

Answer 18 of 19 · Question 4 part c · 12 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Evaluate the importance of marketing for *Cadbury* when introducing a new product. Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** <u>AO1</u> • *Cadbury* needs to make products that customers will want to buy so by using market research it can identify a gap in the market. • By producing chocolate bars that people enjoy it keeps them loyal to those products <u>AO2</u> • If the market research finds that customers like chocolate ice creams *Cadbury* could introduce them • *Cadbury* wants loyal customers to continue buying its range of chocolate products <u>AO3</u> • Customers buying the ice creams increases sales and they are more likely to recommend *Cadbury* products to their friends • Loyal customers are more likely to purchase new products that *Cadbury* introduces from time to time <u>AO4</u> • However, any bad publicity about the chocolate ice creams could reduce sales and give *Cadbury* a bad reputation • However, to maintain loyalty to *Cadbury*, it may have to offer special deals or free gifts on purchasing old and new chocolate products	**(12)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 18 of 19 · Question 4 part c · 12 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why marketing matters: needs, loyalty and share

Answer 18 of 19 · Question 4 part c · 12 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

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Answer 19 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

4 (a)	**A02 - 2 marks** 1 000/(4.50-3.25) **(1)** = 800 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 19 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Analyse the importance of cash to *PPS*. **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • If *PPS* has sufficient cash it can pay the costs of buying the treats • If *PPS* does not have sufficient cash it may not be able to pay the employees running the pet hotel **AO3** • *PPS* can continue to buy the treats for sale to their customers • The pet hotel may have to close if employees are not paid leading to a loss of cash revenue	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Why marketing matters: needs, loyalty and share

Answer 19 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Evaluate the importance of marketing to *PPS* so it can keep its market share. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Marketing informs customers of the products the business is offering • Marketing can build long lasting customer relationships **AO2** • *PPS* can remind customers with information about the products it offers such as CCTV cameras in the pet hotel • *PPS* can identify customer needs by giving its own customers questionnaires to get feedback **AO3** • It is important for *PPS* to create greater brand awareness to make it stand out against the competition so that existing customers remain with *PPS* • If *PPS* gather enough reliable information from its customers, they may be able to identify its customer needs to be able to target its products and services more accurately giving them a competitive edge over other pet businesses **AO4** • However, it can be time consuming to market the business as *PPS* will need to approach the customers that come in store or provide detailed information on their website to keep it competitive • However, this may not work as some of their customers may still try the new pet business if it is charging a lower price than *PPS*	**(12)**

Type MS · Why marketing matters: needs, loyalty and share

Answer 19 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Why marketing matters: needs, loyalty and share

Answer 19 of 19 · Question 4 part c · 12 marks

2024 JUN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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